

04-service-level-agreement

Pemberton Engineering Ltd. — Indirect MRO Framework — 3-Year Term

Document 04 of 7 Pemberton ref: PEL/PROC/2026-RFQ-073
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This Service Level Agreement (“**SLA**”) forms part of the Master Supply Agreement (Document 02) and applies to all Goods and Services supplied under the framework. Capitalised terms used but not defined here have the meaning given in the MSA.

1. Service Level Categories

ID	Service level	Target	Measurement period
SL1	On-Time In-Full (OTIF) delivery	$\geq 97.5\%$	Calendar month
SL2	Standard lead time, Category A-D consumables	≤ 2 Business Days from Order acknowledgement	Per Order
SL3	Standard lead time, Category E-F components	≤ 5 Business Days from Order acknowledgement	Per Order
SL4	Emergency / break-fix response (24x7)	≤ 4 hours acknowledgement; ≤ 24 hours on site	Per incident
SL5	Quotation turnaround for non-catalogue items	≤ 1 Business Day	Per request
SL6	Returns processing	≤ 5 Business Days to credit note	Per return
SL7		$\geq 92\%$	Calendar quarter

ID	Service level	Target	Measurement period
	First-time fix rate (Capital spares, Cat G)		

2. Measurement and Reporting

2.1 OTIF is measured at the receiving site against the Order's acknowledged delivery slot. "On time" means within the agreed slot ± 2 hours. "In full" means the line quantity ordered, with no substitutions unless pre-approved in writing.

2.2 Supplier shall provide a monthly service report by the fifth (5th) Business Day of the following month, in the format set out in Appendix B, covering all service levels and including root-cause analysis for any miss.

2.3 Buyer will conduct a quarterly business review with Supplier covering performance, root causes, and remedial actions.

3. Service Credits and Penalties

3.1 **OTIF service credits.** If OTIF in any calendar month falls below the targets in the table below, Supplier shall credit Buyer's account as a percentage of that month's invoiced framework spend:

Monthly OTIF	Service credit
95.0% – 97.4%	1.0% of monthly spend
90.0% – 94.9%	3.0% of monthly spend
85.0% – 89.9%	6.0% of monthly spend
Below 85.0%	10.0% of monthly spend (and material breach, see clause 5)

3.2 **Lead-time miss penalties.** Each miss against SL2 or SL3 shall attract a fixed penalty of £75 per Order line, debited to Supplier's account at month-end.

3.3 Emergency response. Each breach of SL4 shall attract a penalty equal to 200% of the incident's labour and parts charge.

3.4 Service credits and penalties are **without prejudice to any other right or remedy** available to Buyer, including the right to terminate under the MSA.

4. Escalation Matrix

Level	Pemberton contact	Supplier contact	Trigger
1	Site Maintenance Lead	Account Manager	Routine operational issue
2	Pemberton Category Manager	Supplier Operations Director	SL1 miss in any single month, or SL4 breach
3	Pemberton Head of Procurement	Supplier UK Managing Director	Two SL1 misses in any rolling six-month period
4	Pemberton CFO + General Counsel	Supplier CEO + General Counsel	Material breach under MSA clause 18.2

5. Material Breach Triggers

The following shall constitute material breach of the MSA for the purposes of clause 18.2:

- OTIF below 85.0% in any single calendar month;
- Three (3) consecutive calendar months with OTIF below 95.0%;
- Two (2) SL4 breaches in any rolling three (3) month period;
- Failure to provide a remediation plan within ten (10) Business Days of an escalation to Level 3.

6. Continuous Improvement

6.1 Supplier shall propose at least four (4) productivity, cost-out, or sustainability initiatives per annum, with target benefits quantified.

6.2 Cost-out benefits shall be shared 70/30 in Buyer's favour for the duration of the Initial Term.

6.3 Sustainability initiatives shall be reflected in Supplier's annual ESG attestation under MSA clause 13.3.

7. Force Majeure and SLA

7.1 SLAs are not measured during a force majeure event affecting Supplier's ability to perform.

7.2 Supplier must notify Buyer within four (4) hours of becoming aware of any event likely to materially affect SLA performance, with mitigation plan.

Appendix B — Monthly Service Report Template

Each monthly report shall contain, at a minimum:

1. Per-SL performance against target, with month-on-month trend (12-month rolling).
2. List of all SL misses with order reference, root cause, and corrective action.
3. Top-10 SKUs by line-item ordered, by line-item missed, and by spend.
4. Heat-map of OTIF performance by receiving site.
5. Service-credit and penalty calculation for the month, by SL.
6. Open actions from prior month with status.
7. ESG / sustainability initiative progress against agreed milestones.